exchange asset classes.[13] The Commission was sensitive in the Proposing Release to the economic impact its proposed SBSEF rules could have.[14]

In addition, the Commission recognized that the entities that are most likely to register with the Commission as SBSEFs are existing, CFTC-registered SEFs, which have already made substantial investments in systems, policies, and procedures to comply with and adapt to the regulatory system developed by the CFTC. Harmonization between the Commission's SBSEF rules and the CFTC's SEF rules could facilitate the ability of entities to dually register and minimize costs by allowing incumbent SEFs to use their existing systems, policies, and procedures to comply with the Commission's SBSEF rules.[15]

Thus, in proposing Regulation SE, the Commission took the general approach of harmonizing closely with analogous CFTC SEF rules, except where differences in the SEC's statutory authority relative to the CFTC's statutory authority, or differences in the SBS market relative to the swaps market, necessitated differences between the Commission's rules and the CFTC's, or where the benefits of deviating from the CFTC's rules would otherwise justify the burdens and costs associated with imposing different or additional requirements than the corresponding CFTC rule. And the Commission sought public comment on this approach.[16]

One commenter opposes this harmonization approach, and argues that it does not make sense to harmonize with the "looser" rules of SEFs, which he believes would allow "more fraud

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13 *See* CFTC Swaps Report, *available at* https://www.cftc.gov/MarketReports/SwapsReports/L3Grossexp.html (accessed on Sept. 27, 2023).

14 *See* Proposing Release, *supra* note 1, 87 FR at 28875.

15 *See* Proposing Release, *supra* note 1, 87 FR at 28875.

16 The comment letters are available at https://www.sec.gov/comments/s7-14-22/s71422.htm. The Commission also received comments on topics outside the scope of the proposal that are not addressed in this release. *See*, *e.g.*, Letter from Anonymous (Apr. 27, 2022) (discussing CFTC oversight and transparency); Letter from Anonymous (Apr. 20, 2022) (discussing securities financial transactions).

and false narratives to creep into the market," and instead advocates that the Commission start from scratch with new rules.[17] Many other commenters, however, generally support this harmonization approach.[18] Many of these commenters echo the Commission's rationale for harmonizing with the CFTC's SEF rules, and state that such harmonization would minimize the compliance burden for dually registered entities.[19] Two of these commenters also state that the CFTC's regulatory framework has been in place for almost a decade and has functioned well.[20]

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17 *See* Letter from Robert McLaughlin (Apr. 7, 2022).

18 *See, e.g.*, Letter from Robert Laorno, General Counsel, ICE Swap Trade, LLC, to Vanessa A. Countryman, Secretary, Commission, at 1–2 (June 20, 2022) ("ICE Letter"); Letter from Stephen W. Hall, Legal Director and Securities Specialist, and Jason Grimes, Senior Counsel, Better Markets, Inc., to Vanessa A. Countryman, Secretary, Commission, at 9–11 (June 10, 2022) ("Better Markets Letter"); Letter from Derek J. Kleinbauer, Vice-President, Bloomberg SEF LLC, and Benjamin MacDonald, Global Head Enterprise Products, Bloomberg L.P., to Vanessa A. Countryman, Secretary, Commission, at 1–2 (June 10, 2022) ("Bloomberg Letter"); Letter from Bella Rosenberg, Senior Counsel and Head of Legal and Regulatory Practice Group, International Swaps and Derivatives Association, Inc., and Kyla Brandon, Managing Director, Head of Derivatives Policy, Securities Industry and Financial Markets Association, to Vanessa Countryman, Secretary, Commission, at 1–2 (June 10, 2022) ("ISDA-SIFMA Letter"); Letter from Sarah A. Bessin Associate General Counsel, and Nicholas Valderrama, Counsel, Investment Company Institute, at 1–2 (June 10, 2022) ("ICI Letter"); Letter from Elizabeth Kirby, Head of U.S. Market Structure, Tradeweb Markets Inc., to Vanessa A. Countryman, Secretary, Commission, at 1–2 (June 10, 2022) ("Tradeweb Letter"); Letter from Williams Shields, Chairman, Wholesale Markets Brokers' Association, Americas, to Vanessa A. Countryman, Secretary, Commission, at 1–2 (June 10, 2022) ("WMBAA Letter"); Letter from Lindsey Weber Keljo, Head of SIFMA Asset Management Group, and William Thun, Associate General Counsel, SIFMA Asset Management Group, to Vanessa A. Countryman, Secretary, Commission, at 1–2 (June 10, 2022) ("SIFMA AMG Letter"); Letter from Jennifer W. Han, Chief Counsel & Head of Regulatory Affairs, Managed Funds Association, at 1–2 (June 10, 2022) ("MFA Letter"); Letter from Stephen John Berger, Global Head of Government & Regulatory Policy, Citadel and Citadel Securities (June 10, 2022) ("Citadel Letter"). While these commenters support the Commission's general harmonization approach, they also provide specific recommendations on changes to the Commission's Regulation SE proposal that they believe would improve the rules, as described in detail below in the sections discussing these individual rules. *See infra* sections II through XVII.

19 *See, e.g.,* ICE Letter, *supra* note 18, at 1–2; ISDA-SIFMA Letter, *supra* note 18, at 1–2; ICI Letter, *supra* note 18, at 1–2; Tradeweb Letter, *supra* note 18, at 1–2; WMBAA Letter, *supra* note 18, at 1–2; MFA Letter, *supra* note 18, at 1.

20 *See, e.g.,* ISDA-SIFMA Letter, *supra* note 18, at 1–2; SIFMA AMG Letter, *supra* note 18, at 1–2.

One commenter also supports the Commission's decision and rationale in withdrawing proposed Regulation MC[21] and the Commission's 2011 SBSEF Proposal.[22]

The Commission disagrees with the comment that harmonizing with the CFTC approach would allow for more fraud and false narratives in the SBS markets. Standing up a formal regulatory framework for SBSEFs where none yet exists will provide greater accountability and oversight for the SBS market and should, contrary to this commenter's views, serve to detect and deter abusive and manipulative trading practices by providing for a set of Commission rules that SBSEFs must adhere to in operating their platforms and by requiring SBSEFs to make filings with the Commission regarding the operation of their platforms and to make their rules publicly available, as described in detail in sections II through XVII below.

Given the relative size of the SBS market as compared to the swaps market, the fact that the CFTC's SEF regulation has been in place for many years now, and the cost efficiencies and reduced burdens that would result from harmonized rules for dually registered SEFs/SBSEFs, it is appropriate to generally harmonize the Commission's SBSEF regulatory framework with the CFTC's SEF regulatory framework. At the same time, where appropriate, adopted Regulation SE differs in certain targeted respects from the CFTC's regulatory framework for SEFs. This includes areas where differences in the Commission's statutory authority relative to the CFTC's statutory authority or differences in the SBS market relative to the swaps market necessitate differences between the Commission's rules and the CFTC's, or where the benefits of deviating from the CFTC's rules would otherwise justify the burdens and costs associated with imposing

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[21] Ownership Limitations and Governance Requirements for Security-Based Swap Clearing Agencies, Security-Based Swap Execution Facilities, and National Securities Exchanges With Respect to Security-Based Swaps Under Regulation MC, SEA Release No. 63107 (Oct. 14, 2010), 75 FR 65882 (Oct. 26, 2010) ("Regulation MC Proposal").

[22] *See* Bloomberg Letter, *supra* note 18, at 2.

different or additional requirements than the corresponding CFTC rule. The specific approach to harmonization that the Commission has pursued, along with differences from CFTC's regime for SEFs, are described in detail in sections II through XVII below.

As discussed below, the Commission is modifying the proposed provisions of Regulation SE regarding the definition of "block trade,"[23] the treatment of package transactions,[24] the treatment of SBS transactions that are intended to be cleared but are not accepted for clearing by a registered clearing agency,[25] permitting SBSEFs to contract with designated contract markets ("DCMs") to provide services to assist in complying with the SEA and Commission rules thereunder,[26] the content and timing of the Daily Market Data Report,[27] an exception to ownership and voting restrictions for SBSEFs,[28] the application of deadlines and standard of review for Commission review of SBSEF actions,[29] and the applicability of electronic filing and structured-data requirements with respect to specific SBSEF filings.[30] Otherwise, the rules of Regulation SE are generally being adopted as proposed, in some instances with minor or technical modifications, which are described in more detail below.[31]

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23 *See infra* section V.E.1(c).

24 *See infra* section V.E.4.

25 *See infra* section V.E.7.

26 *See infra* section VI.B.5.

27 *See infra* section VI.H.

28 *See infra* section VIII.B.

29 *See infra* section XIV.E.

30 *See infra* section XIII.

31 *See infra* note 32.

II. INTRODUCTORY PROVISIONS OF REGULATION SE

A. Rule 800—Scope

Proposed Rule 800 is based on 17 CFR 37.1, which provides that part 37 of the CFTC's regulations applies to every SEF that is registered or applying to become registered as a SEF under section 5h of the CEA. Proposed Rule 800 would provide that the provisions of Regulation SE apply to every SBSEF that is registered or is applying to become registered as an SBSEF under section 3D of the SEA.

The Commission received no comments on Proposed Rule 800 and is adopting Rule 800 as proposed, with minor technical modifications,[32] for the reasons stated in the Proposing Release.

B. Rule 801—Applicable Provisions

Proposed Rule 801 is based on § 37.2 of the CFTC's rules, which provides that a SEF shall comply with the requirements of part 37 and all other applicable CFTC regulations, including 17 CFR 1.60 and part 9, and including any related definitions and cross-referenced sections. Proposed Rule 801 would require an SBSEF to comply with the requirements of Regulation SE and all other applicable Commission rules, including any related definitions and cross-referenced sections.

The Commission did not receive any comments on Proposed Rule 801 and is adopting Rule 801 as proposed, with minor technical modifications.[33]

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[32] In several instances, here and as noted below, the Commission has made technical modifications to the proposed regulatory text to conform cross-references in the regulatory text to the CFR to the required style, as well as to correct simple typographical errors. Here, the Commission has modified Rule 800 to change a reference from "[t]he provisions of this section" to "[t]he provisions of §§ 242.800 through 242.835." In other instances, the Commission has added the words "of this section" to a CFR cross-reference to conform to the required form of citation. Other types of technical modifications, and any substantive modifications, are described below with respect to specific instances.

[33] *See id.*

C. Rule 802—Definitions

Proposed Rule 802 would set forth the definitions of terms that are used in multiple rules in proposed Regulation SE. The majority of these terms were adapted from the CFTC's swaps rules. Other terms were taken from section 3 of the SEA[34] or from a Commission rule under the SEA. In particular, Proposed Rule 802 would define the term "security-based swap execution facility" by cross-referencing the definition of that term provided in section 3(a)(77) of the SEA,[35] but with one carve-out. An entity that is registered with the Commission as a clearing agency pursuant to section 17A of the SEA[36] and limits its SBSEF functions to operation of a trading session that is designed to further the accuracy of end-of-day valuations—i.e., a "forced trading session"—would be exempt from the definition of "security-based swap execution facility."[37]

Although the Commission received comments regarding the proper application of the proposed definitions with respect to registration requirements, discussed below in section III.A.2,

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34 15 U.S.C. 78c.

35 15 U.S.C. 78c(a)(77).

36 15 U.S.C. 78q-1.

37 *See* Proposing Release, *supra* note 1, 87 FR at 28878. This provision codifies a series of exemptions granted by the Commission to SBS clearing agencies that operate "forced trading" sessions. *See, e.g.*, Order Granting Temporary Exemptions Under the Securities Exchange Act of 1934 in Connection With Request on Behalf of ICE U.S. Trust LLC Related to Central Clearing of Credit Default Swaps, and Request for Comments, SEA Release No. 59527 (Mar. 6, 2009), 74 FR 10791, 10796 (Mar. 12, 2009) (providing, among other things, an exemption from sections 5 and 6 of the SEA because "ICE Trust will periodically require ICE Trust Participants to execute certain CDS trades at the applicable end-of-day settlement price. Requiring ICE Trust Participants to trade CDS periodically in this manner is designed to help ensure that such submitted prices reflect each ICE Trust Participant's best assessment of the value of each of its open positions in Cleared CDS on a daily basis, thereby reducing risk by allowing ICE Trust to impose appropriate margin requirements"); Order Extending and Modifying Temporary Exemptions Under the Securities Exchange Act of 1934 in Connection With Request of Chicago Mercantile Exchange Inc. Related to Central Clearing of Credit Default Swaps, and Request for Comments, SEA Release No. 61164 (Dec. 14, 2009), 74 FR 67258, 67262 (Dec. 18, 2009) (providing, among other things, an exemption from sections 5 and 6 of the SEA because, "[a]s part of the CDS clearing process, CME will periodically require CDS clearing members to trade at prices generated by their indicative settlement prices where those indicative settlement prices generate crossed bids and offers, pursuant to CME's price quality auction methodology").

and the proposed amendments to Rule 3a1-1, discussed below in section X, the Commission did not receive comments suggesting a modification of the definitions themselves. The term "security-based swap execution facility" is defined directly in section 3(a)(77) of the SEA as "a trading system or platform in which multiple participants have the ability to execute or trade security-based swaps by accepting bids and offers made by multiple participants in the facility or system…,"[38] and it is appropriate to adopt the same definition in Rule 802, with a narrow exception to address certain activities of registered clearing agencies in furthering the accuracy of end-of-day valuations.[39]

Specifically, it is necessary or appropriate in the public interest, and is consistent with the protection of investors, to exempt a registered clearing agency that utilizes a forced trading functionality for SBS from the definition of "security-based swap execution facility." Such an entity will continue to be registered as a clearing agency and subject to the requirements of section 17A of the SEA. Furthermore, a registered clearing agency is a self-regulatory organization ("SRO"); therefore, all of its rules—including those governing the forced trading session—have to be submitted to the Commission pursuant to section 19 of the SEA. Therefore, codification of the exemption from the definitions of "exchange" and "security-based swap execution facility" preserves the status quo and eliminates a largely duplicative and unnecessary set of regulatory requirements. This exemption covers only the forced-trading functionality of an SBS clearing agency; any other exchange or SBSEF activity in which a clearing agency might

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[38] 15 U.S.C. 78c(a)(77).

[39] Because this exception for certain clearing agencies specifies "an entity that is registered with the Commission as a clearing agency pursuant to section 17A of the [SEA]" and meets other specified conditions, the exception would not be available to any exempt clearing agency.

engage could subject the clearing agency to the SEA provisions and the Commission's rules thereunder applying to exchanges or SBSEFs.

Proposed Rule 802 would have defined the term "block trade" to be an SBS transaction that, among other requirements, is an SBS based on a single credit instrument (or issuer of credit instruments) or a narrow-based index of credit instruments (or issuers of credit instruments) having a notional size of $5 million or greater.[40] The Commission received a number of comments on the proposed definition of "block trade." These comments are discussed below in section V.E.1(c) relating to Rule 815(a), which specifies mandatory methods of execution for a Required Transaction that is not a block trade. As discussed in detail below in section V.E.1(c), the Commission is not adopting the proposed definition of "block trade" and is leaving this definition as "reserved."[41]

Therefore, the Commission is adopting Rule 802 as proposed, except for the definition of "block trade," which it is reserving, and minor technical modifications.[42]

III. REGISTRATION OF SBSEFS

Section 3D(a)(1) of the SEA[43] provides that no person may operate a facility for the trading or processing of SBS[44] unless the facility is registered as an SBSEF or as a national

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40 *See* Proposing Release, *supra* note 1, 87 FR at 28896, 28975.

41 Additionally, as discussed below, the Commission is removing the term "block trade" from the text of certain rules *other than* Rule 815(a), *see infra* sections VI.B.1 (Rule 819(a)(3)), V.B (Rule 812(b)), VI.B.4 (Rule 819(d)(1)), VI.H (Rule 825(c)(1)(i) and (ii)), and is adding language regarding future definition of "block trade" in Rule 825(c)(1)(iii). *See infra* section VI.H.

42 *See supra* note 32. The Commission has also replaced the term "SBSEF" with "security-based swap execution facility," defined "SBS exchange" when the term is first used, added the words "of this definition of trading facility" to paragraph (2)(C)(ii) of the definition of "trading facility," and moved the definition of "dormant security-based swap execution facility" so that it appears in alphabetical order.

43 15 U.S.C. 78c-4(a)(1).

44 The term "security-based swap" is defined in section 3(a)(68) of the SEA, 15 U.S.C. 78c(a)(68), to include, among other things, a swap that is based on a single security or loan, including any interest therein or on the value thereof. A single security could include, for example, a cash equity, a crypto/digital asset security, or a security option.

securities exchange. After issuing the 2011 SBSEF Proposal, the Commission granted temporary exemptions pursuant to section 36(a)(1) of the SEA[45] to entities that meet the definition of "security-based swap execution facility" from having to register with the Commission as an SBSEF or national securities exchange ("Temporary SBSEF Exemptions").[46] According to their terms, the Temporary SBSEF Exemptions expire upon the earliest compliance date for the Commission's final rules regarding SBSEF registration.[47]

A. Rule 803—Requirements and Procedures for Registration

1. Summary of Proposed Rule 803

Proposed Rule 803 of Regulation SE is closely modeled on § 37.3 of the CFTC's rules and would set forth a process for registration with the Commission as an SBSEF.

Paragraph (a)(1) of Proposed Rule 803 would track the language of § 37.3(a)(1) closely, and would provide that any person operating a facility that offers a trading system or platform in

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45 15 U.S.C. 78mm(a)(1).

46 *See* SEA Release No. 64678 (June 15, 2011), 76 FR 36287 (June 22, 2011) (temporarily exempting entities that meet the definition of "security-based swap execution facility" from the requirement to register with the Commission as an SBSEF) ("June 2011 Exemptive Order"); SEA Release No. 64795 (July 1, 2011), 76 FR 39927 (July 7, 2011) (temporarily exempting entities that meet the definition of "security-based swap execution facility" from the restrictions and requirements of sections 5 and 6 of the SEA) ("July 2011 Exemptive Order"). An entity that meets the definition of "security-based swap execution facility" is required to register as an SBSEF under section 3D of the SEA or as an exchange under section 6 of the SEA. But because the Commission has not previously adopted final rules relating to SBSEFs, such entities have been unable to register with the Commission as SBSEFs. The Temporary SBSEF Exemptions have allowed such entities to continue trading SBS without needing to register either as SBSEFs or national securities exchanges before the compliance date of the SBSEF registration rules.

47 *See* June 2011 Exemptive Order, *supra* note 46, 76 FR at 36293, 36306; July 2011 Exemptive Order, *supra* note 46, 76 FR at 39934, 39939. The July 2011 Exemptive Order also provided an exemption from the broker registration requirements of section 15(a)(1) of the SEA, 15 U.S.C. 78*o*(a)(1), and other requirements of the SEA and the Commission's rules thereunder that apply to a broker, solely in connection with broker activities involving SBS ("Broker Exemptions"). The Broker Exemptions generally expired on Oct. 6, 2021; however, because an entity that meets the definition of "security-based swap execution facility" also would also meet the definition of "broker" in section 3(a)(4) of the SEA, 15 U.S.C. 78c(a)(4), the Commission extended the Broker Exemptions solely for persons acting as an SBSEF until the expiration of the Temporary SBSEF Exemptions (i.e., the earliest compliance date set forth in any of the Commission's final rules regarding registration of SBSEFs). *See* SEA Release No. 87005 (Sept. 19, 2019), 84 FR 68550, 68602 (Dec. 16, 2019).

which more than one market participant has the ability to execute or trade security-based swaps with more than one other market participant on the system or platform shall register the facility as a security-based swap execution facility under this section or as a national securities exchange pursuant to section 6 of the SEA.[48]

Paragraph (a)(2) of Rule 803, like § 37.3(a)(2), would require an SBSEF, at a minimum, to offer an order book, which would be defined in Rule 802 to mean an electronic trading facility, a trading facility, or a trading system or platform in which all market participants in the trading system or platform have the ability to enter multiple bids and offers, observe or receive bids and offers entered by other market participants, and transact on such bids and offers.[49]

Paragraph (a)(3) of Rule 803 is closely modeled on § 37.3(a)(4) and would provide a narrow exception to the requirement to provide an order book for a Required Transaction[50] to allow an SBSEF not to offer an order book for the SBS component(s) of a package transaction

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48 A person that registers with the Commission as a national securities exchange pursuant to section 6 of the SEA does not fall within the statutory definition of "security-based swap execution facility," *see* sec. 3(a)(77) of the SEA, 15 U.S.C. 78c(a)(77), and thus does not need to register as an SBSEF under Rule 803. Furthermore, as discussed below, s*ee infra* section X (discussing proposed paragraph (a)(4) of SEA Rule 3a1-1), a person that registers as an SBSEF under Rule 803 and provides a market place for no securities other than SBS is exempt from the definition of "exchange" and does not need to register as such pursuant to section 6 of the SEA. 15 U.S.C. 78c(a)(1) (defining "exchange" as "any organization, association, or group of persons, whether incorporated or unincorporated, which constitutes, maintains, or provides a market place or facilities for bringing together purchasers and sellers of securities or for otherwise performing with respect to securities the functions commonly performed by a stock exchange as that term is generally understood, and includes the market place and the market facilities maintained by such exchange").

49 Section 37.3(a)(3) defines "trading facility" and "electronic trading facility" by cross-referencing definitions of those terms in the CEA. Rather than cross-referencing the CEA, the Commission adapted the CEA definitions of those terms directly into Rule 802. *See* Proposed Rule 802 (defining "trading facility" and "electronic trading facility").

50 As discussed below in section V.E.1(a), the Commission is incorporating into Regulation SE the concepts of "Required Transaction" and "Permitted Transaction" in a manner closely modeled on the CFTC's use of those terms. A Required Transaction would be a transaction involving an SBS that is subject to the trade execution requirement. Section 37.3 of the CFTC's rules requires an order book as a minimum trading functionality for all SEFs and is not limited to provision of an order book only for Required Transactions.